

prices stabilise or come down. This has resulted in buying being postponed and has dramatically reduced demand to a low of 83 tonne in the last quarter of 2007 compared to 230 tonne in the same period in 2006. Had prices remained stable at Rs 8,800 level, India would have imported 1,000 tonne of gold. Explains Keyur Shah, associate director of the World Gold Council (wgc): "Buyers are waiting for the volatility of gold prices to subside, which is mainly due to the exchange rate of the gold globally. Also rising demand from developing countries like India and China has impacted prices to

some extent." Interestingly, the cost of gold that comes out of the mine is Rs 2,200 per troy ounce, but by the time it reaches the end consumer, its perceived value skyrockets because gold is more than just a metal.

So why is the world paying a 100 per cent premium for this precious metal and will this rally continue? The answer to the second question is yes. Simply because it is the standard store of value and in times of crisis, recession or calamities, gold is the standard for exchange of value. The liquidity makes it the most popular investment even in rural India, which consumes

60 per cent of all gold imports. In times of uncertainty, investors are certain to turn to gold which is not affected by either the sub-prime crisis or any global contagion. Also it's completely delinked from equities, which is why it's considered the best hedge from all other forms of risks. Like the last time gold rallied to \$850 in 1980, thanks to strong oil prices and the erstwhile Soviet Union's intervention in Afghanistan, the reasons this time around are not too different. Boiling crude oil prices and consequent inflationary pressures on industry are making investors jittery the world

FACTORS DRIVING PRICES OF GOLD

Weakening US dollar and rising crude prices raise inflation and gold is a big hedge against it.

Institutional investors move from dollar-backed instruments to gold-backed assets.

Launch of exchange traded gold funds pushes up demand for physical gold across the globe.

Stagnant output and rising consumption in countries like India and China puts pressure on prices.

BEAUTY OF METAL: India is the world's biggest consumer of gold



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